



April 11, 2023

Senator Thomas J. Umberg
Chair of the Senate Judiciary Committee
1021 O Street, Suite 6530
Sacramento, CA 95814

Senator Scott Wilk
Vice Chair of the Senate Judiciary Committee
1021 O Street, Room 7140
Sacramento, CA 95814

Senator Josh Becker
1021 O Street, Suite 7250
Sacramento, CA 95814

RE: California SB 362 – Oppose

Dear Senator Becker, Chair Umberg, and Vice Chair Wilk:

On behalf of the advertising industry, we provide input below on California SB 362.¹ We offer this letter to express our non-exhaustive list of concerns about this legislation. Our organizations support meaningful privacy protections for Californians. However, as presently drafted, SB 362 would not achieve the goal of enhancing privacy protections for consumers. Instead, the bill would burden data brokers and the California Privacy Protection Agency (“CPPA” or “Agency”) with new requirements at a time when the Agency is already tasked with the significant undertaking of implementing and enforcing the newly amended California Consumer Privacy Act (“CCPA”).

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product in 2020.² Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on our comments regarding the bill outlined here.

I. Data brokers are essential to a healthy and competitive marketplace.

Data brokers are vital to new and small businesses’ ability to thrive and find new customers. Much like supply chain partners create value in various sectors of the economy, data brokers serve as intermediaries that engage in specialized techniques and practices to help their clients find and attract new and existing customers. Data brokers enable small businesses to leverage more than just

¹ California SB 362 (Reg. Sess. 2023), located [here](#).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, “Deighton & Kornfeld 2021”).



the data they receive from direct interactions with their niche customer base. Legal requirements that ignore the ways in which data brokers collect information and provide value to the economy threaten to impact small businesses the most. Information obtained from data brokers makes it possible for small and mid-size companies with less resources to spend on advertising to reach as many new potential customers as possible and in the most efficient and accountable ways possible. In large part due to services provided by data brokers, small and mid-sized businesses are empowered to compete with larger companies who have more resources to allocate to broad marketing efforts. SB 362 would undermine new and small businesses' abilities to compete and reach customers.

II. SB 362's transparency and choice provisions are duplicative of the CCPA and may even conflict with the law, thereby hurting consumers, hindering data brokers' ability to compete with other California businesses, and undermining the goals of the CCPA.

The bill would create data broker transparency provisions that do not take into account similar provisions in the CCPA. The bill would, for example, require data brokers to provide metrics regarding consumer requests as well as information regarding personal information collection and disclosure practices.³ The bill also directs the CPPA to "create a page on its internet website where the registration information provided by data brokers... shall be accessible to the public."⁴ The CCPA itself creates similar requirements for the data brokers it covers by requiring such disclosures through privacy policies. As a result, the requirements in SB 362 are at least duplicative of, and may even conflict with, information disclosures currently mandated under California law.

In addition, the bill would require the Agency to "establish an accessible deletion mechanism that...[a]llows a consumer, through a single verifiable consumer request, to request that every data broker that maintains any personal information delete any personal information related to that consumer held by the data broker or associated service provider or contractor."⁵ This data broker deletion mechanism would rob consumers of the ability to elect not to do business with certain data brokers while choosing to engage with others. Such an overly broad deletion mechanism would serve as a very blunt instrument that would not provide consumers with the ability to make granular choices. Consumers should be permitted to set specific preferences regarding data brokers' ability to process personal information rather than be forced into making all-or-nothing decisions. Moreover, the bill's CPPA-centralized data deletion mechanism would effectively subject one slice of the economy—data brokers—to a deletion obligation when other entities in the marketplace would not be subject to those same obligations. SB 362 consequently poses a glaring competition problem, as under its terms the same types of data would be subject to different requirements depending on the business model at issue. California should not enact a law that places uneven requirements on different entities that do business in the marketplace.

³ SB 362, Sec. 3, § 1798.99.82(b)(2); Sec. 5, § 1798.99.85.

⁴ *Id.* at Sec. 4, § 1798.99.84.

⁵ *Id.* at Sec. 6, § 1798.99.86(a).



SB 362 would also require requests to delete through the data broker deletion mechanism to serve as requests to opt out of sales and sharing as well as requests to stop data collection entirely.⁶ In this way, the bill would conflate the CCPA rights to opt out with the CCPA right to delete, and would cause significant consumer confusion and frustration, as individuals who intend to exercise the right to delete may ultimately end up exercising a right to opt out due to the bill's requirements. In addition, the bill's requirement for the data broker deletion mechanism to ultimately function as a do-not-collect request would be misaligned with consumers' reasonable expectations when they exercise their right to delete. Such a requirement is also entirely outside of the scope of the CCPA, which does not provide a right to cut off data collection in its entirety. Removing this data from the market, by prohibiting data brokers from collecting data in the future, would undermine fraud protection, security efforts, and other vital uses of such data sourced from data brokers. The bill's requirements are consequently duplicative of and may conflict with the CCPA, which will undermine the goals of the law to the detriment of consumers and businesses.

III. SB 362 would create enormous new responsibilities for the CPPA at a time when the Agency is already saddled with significant responsibilities pertaining to implementing and enforcing the CCPA.

The CCPA, as amended by the California Privacy Rights Act of 2020, became effective mere months ago. This new form of a data privacy law in California already creates significant new obligations for the CPPA. While the Agency has finalized its first round of regulations to implement the law, it has initiated a second rulemaking process and is set to begin the substantial task of enforcing the law beginning on July 1, 2023.⁷ These duties are costly, time-consuming, and demanding, and they will continue to have an outsized impact on the CPPA's resources. SB 362 would direct the CPPA to manage an unprecedented and broad deletion mechanism, complete with fee collection from data brokers and auditing requirements. This would be an extraordinarily onerous undertaking even absent already existing CCPA-related obligations with which the Agency must contend. SB 362 is premature in this regard and—at a minimum—should be subject to a fulsome economic impact assessment prior to advancing in the legislature.

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⁶ *Id.* at Sec. 6, § 1798.99.86(e).

⁷ See Cal. Civ. Code § 1798.185(d); *see also* California Privacy Protection Agency, *Preliminary Rulemaking Activities on Cybersecurity Audits, Risk Assessments, and Automated Decisionmaking*, located [here](#).



We and our members support protecting consumer privacy. We believe, however, that SB 362 is unnecessary and confusing for consumers who already receive significant protections, disclosures, and choice opportunities under the CCPA and unduly burdensome for California data brokers and the CPPA alike. The bill also materially conflicts with requirements already outlined in California privacy law in ways that would create competition concerns and stifle the data-driven economy.

Thank you in advance for your consideration of this letter.

Sincerely,

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